

25STCV28326 25STCV28326

County: los-angeles

Division: Civil Law and Motion

Department: 515

Hearing date: 2026-08-04

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C515%2C08%2F04%2F2026

Source SHA-256: 0f5ce162a05938ddb1fdbca787defa6a6a65ca55a07d28a62c4b6f4712c31f89

Case Number: 25STCV28326 Hearing Date: August 4, 2026 Dept: 515

NATURE OF PROCEEDINGS: Hearing on

Demurrer

The Demurrer filed by Defendant Ka Wai Kwan
is overruled.

BACKGROUND

Plaintiff 3 Alameda Plaza, LLC (Plaintiff)

filed this action against Alameda Restaurant, LLC (Tenant), Ka Wai Kwan also known as Michael Kwan (Kwan), Lauro Calonzo, and Hera Ramos (collectively, "Defendants"), alleging that Tenant failed to pay amounts owed under a commercial lease, that Kwan guaranteed Tenant's payment obligations, and that the individual Defendants are Tenant's alter egos.

The causes of action are: (1) Breach of Lease; and (2) Breach of Personal Guaranty.

Kwan filed a Demurrer. Plaintiff filed an Opposition.

LEGAL STANDARD

When considering demurrers, courts read the allegations liberally and in context. (Wilson v. Transit Authority of City of Sacramento (1962) 199 Cal.App.2d 716, 720-721.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "A

demurrer tests the pleading alone, and not the evidence or the facts alleged.’
[Citation.]” (E-Fab, Inc. v. Accountants,
Inc. Services (2007) 153 Cal.App.4th 1308, 1315.) Courts therefore assume
the truth of the complaint’s properly pleaded or implied factual allegations. (Ibid.)
They do not accept as true deductions, contentions, or conclusions of law or
fact. (Stonehouse Homes LLC v. City of
Sierra Madre (2008) 167 Cal.App.4th 531, 538.)

ANALYSIS

I. Alter Ego

Kwan argues that he did not sign the Lease
and cannot be liable for breaching an agreement to which he is not a party. (Demurrer,
at p. 5:2-4, p. 8:10-19.) The Lease names Tenant as the only tenant, and the
Complaint does not allege that Kwan signed it. (Compl., Ex. 1 [Summary of Basic
Lease Information and Definitions, § 1.2].) Plaintiff pleads instead that Kwan
is liable for Tenant’s obligations as its alter ego. (Compl., ¶¶ 7-10.)

A member of a limited liability company is
subject to alter ego liability at common law to the same extent, and under the
same or similar circumstances, as a shareholder of a corporation. (Corp. Code,
§ 17703.04, subd. (b).) Two requirements govern. Unity of interest and
ownership must have left the separate personalities of the entity and the
individual no longer existing in fact, and treating the acts as the entity’s
alone must produce an inequitable result. (Mesler
v. Bragg Management Co. (1985) 39 Cal.3d 290, 300.) Where a plaintiff makes
that showing, the court disregards the corporate entity and holds the individual liable for what the entity
did. (Ibid.)

A plaintiff pleading alter ego is held to
ultimate rather than evidentiary facts, and less particularity is required
where the defendant may be assumed to know the facts at least as well as the
plaintiff does. (Rutherford Holdings, LLC
v. Plaza Del Rey (2014) 223 Cal.App.4th 221, 236.) Allegations that an
individual dominated and controlled an entity, that a unity of interest and
ownership existed between them, and that the entity served as a mere shell for
the individual’s affairs survive a demurrer. (Id. at p. 235.)

Here, the Complaint alleges each of these

elements. Kwan, Calonzo, and Ramos are alleged to be the only persons in control of Tenant and to have dominated it in bad faith, so that recognizing its separate existence would promote injustice. (Compl., ¶ 7.) Plaintiff further alleges that the three used Tenant as a mere shell for their personal financial advantage, acquired its entire ownership interest for an inadequate capital contribution, and left it without assets to meet its debts. (Compl., ¶ 8.) According to the Complaint, they caused Tenant to divert its assets to their personal expenses and paid Tenant's obligations with personal funds. (Compl., ¶ 9.) Tenant is alleged to have disregarded corporate formalities, including keeping corporate funds separate from personal funds. (Compl., ¶ 10.) Therefore, the Court concludes that Plaintiff has pleaded alter ego liability sufficiently at this stage.

II. Privity

Kwan next argues that the Complaint pleads no contract between Plaintiff and himself, no breach by him, and no damages caused by him. (Demurrer, at p. 7:18-21, p. 8:1-3; Reply, p. 3:20-26.) The argument assumes that Plaintiff must plead a separate agreement between Plaintiff and Kwan. Alter ego liability does not operate that way. Where the doctrine applies, Tenant's obligations under the Lease become Kwan's, so the elements pleaded as to Tenant are pleaded as to him. Plaintiff attaches the Lease and alleges its terms, Plaintiff's performance, the failure to pay, and the resulting damages. (Compl., ¶¶ 13-15, 22-25, Ex. 1.)

Kwan also invokes the rule that an exhibit controls over an allegation it contradicts. (Demurrer, at p. 7:10-12; Reply, p. 3:8-11.) He points to the allegations that Defendants defaulted under the Lease and that Defendants agreed in the November 2024 amendment that they had failed to pay, when the instruments name Tenant alone. (Demurrer, at p. 5:19-6:4.) Read as a whole, the Complaint does not allege that the individual Defendants signed those instruments. It alleges that they are liable for Tenant's obligations as its alter egos. So read, the Complaint and its exhibits are consistent. Accordingly, the Demurrer to the First Cause of Action on the ground that Kwan is not a party to the Lease is overruled.

II. Uncertainty

Kwan argues that the Complaint does not allege when the amounts composing the \$725,331.30 were incurred, and that the

November 2024 amendment neither allocates nor itemizes the balance it recites. (Demurrer, at p. 8:20-9:7.) That omission, he argues, leaves him to guess at the claim and prevents him from showing on the face of the pleading that amounts more than four years old fall outside the limitations period for an action on a written contract. (Code Civ. Proc., § 337, subd. (a).)

A demurrer for uncertainty tests whether the pleading alerts the defendant to the issues he must meet, and it fails where the complaint's substantive factual allegations do that. (Williams v. Beechnut Nutrition Corp. (1986) 185 Cal.App.3d 135, 139, fn. 2.) Here, the Complaint identifies the Lease, the Personal Guaranty, and the amendments, and attaches each. (Compl., ¶¶ 13, 16, 19, Exs. 1-4.) It alleges the month Tenant's default began, the balance the parties acknowledged in the November 2024 amendment, and the sum Plaintiff now claims. (Compl., ¶¶ 18-20, Ex. 4.) The Lease itself names Kwan as the guarantor who was to execute a separate personal guaranty. (Compl., Ex. 1 Those allegations identify the instruments sued on, the period of nonpayment, and the amount demanded. The detail Kwan wants, an accrual date for each component of the balance, is a subject for discovery, and a demurrer for uncertainty is "strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616.) Accordingly, the Demurrer to the First Cause of Action for uncertainty is overruled.

III. Statute of Limitations

A demurrer resting on an affirmative defense succeeds only where the face of the complaint discloses that the action is necessarily barred by that defense. (Casterson v. Superior Court (2002) 101 Cal.App.4th 177, 182-183.) The Complaint alleges a failure to pay beginning in March 2020 and continuing thereafter, and a failure to make the installments set by the November 2024 amendment. (Compl., ¶¶ 18-20, Ex. 4.) Breaches falling within four years of the September 29, 2025 filing of this action appear on the face of the pleading. A demurrer does not lie to a portion of a cause of action in any event, so a time-barred component of the claimed balance would leave the cause of action intact. (PH II, Inc. v. Superior Court (1995) 33 Cal.App.4th 1680, 1682.)

IV. Personal Guaranty

Kwan raises three grounds against the Second

Cause of Action. First, he argues that Plaintiff failed to allege facts supporting each element of a claim on a guaranty, and in particular failed to allege that it notified him of Tenant's default. Next, he argues that the Personal Guaranty expired by its terms five years after the Lease Commencement Date. Finally, he argues that the cause of action carries the uncertainty and limitations defects he attributes to the First Cause of Action. (Demurrer, at p. 9:8-10:16.)

A. Notice

The elements of a cause of action for breach of a personal guaranty are as follows: (1) the guarantor guaranteed payment of a third party's indebtedness to the lender; (2) the third party defaulted on its loans; (3) the lender notified the guarantor of the default and demanded payment; and (4) the guarantor did not make payment to the lender. (Walsh v. West Valley Mission Community College Dist. (1998) 66 Cal. App.4th 1532, 1546-1547.)

The Complaint pleads each of these elements. It alleges that Kwan executed the Personal Guaranty and unconditionally guaranteed payment under the Lease; that Tenant failed to pay from March 2020 onward; and that the balance remains unpaid. (Compl., ¶¶ 16, 18, 20, 28-29, Ex. 2.) As to notice, Plaintiff alleges that it provided notice to Defendants that they were in default under the terms of the Lease. (Compl., ¶ 19.) Kwan is one of the Defendants, so the allegation is an allegation of notice to him. When Plaintiff gave that notice, and whether it satisfied the Lease and the Personal Guaranty, are questions of proof. The allegation suffices at the pleading stage whether or not notice to the guarantor is an element of a claim on a guaranty.

Kwan responds that Exhibit 4 contradicts paragraph 19, because the amendment names only Plaintiff and Tenant and attaches no notice document. (Demurrer, at p. 6:1-4.) An exhibit displaces an allegation it contradicts, not one it omits. Exhibit 4 recites a delinquent balance and sets an installment schedule, and it says nothing about whether notice of default was given, to whom, or when. The allegation of notice therefore survives the exhibit.

B. Guaranty Expiration

The expiration argument rests on a conditional clause. The Personal Guaranty provides that it "shall expire and be

null and void at the end of five (5) years from the Lease Commencement Date (as specified in the Lease itself) (the 'End Date'), provided that Tenant is not in default of its obligations under the Lease beyond any applicable notice and cure periods thereunder (an 'Event of Default') as of the End Date, and provided that an Event of Default has not occurred three (3) or more times during the Lease term prior to the End Date." (Compl., Ex. 2.) Two further provisions address the failure of those conditions. Where an Event of Default exists at the End Date, and fewer than three have occurred before it, the Personal Guaranty expires only when Tenant cures that default and any others outstanding on the date of the cure. Where an Event of Default occurred three or more times before the End Date, the Personal Guaranty continues for the remainder of the Lease term. (Ibid.)

The Demurrer succeeds on this ground only if the face of the Complaint establishes that both conditions to expiration were satisfied. (Casterson, *supra*, 101 Cal.App.4th at pp. 182-183.) The Lease Commencement Date is August 1, 2015, which places the End Date at August 1, 2020. (Compl., Ex. 1 [Summary, § 1.7].) The notice and cure periods that the definition of "Event of Default" incorporates appear in the Lease. A monetary default arises when Tenant fails to pay "within three (3) days after written notice that the same is due," and once Landlord has delivered a notice of default, a further monetary default within the following twelve months "shall be deemed an event of default without any notice or grace period." (Compl., Ex. 1 [Lease, § 23.1(b)].)

Read against those provisions, the Complaint permits the inferences that defeat expiration. Plaintiff alleges that Defendants failed to make payments when due beginning in March 2020 and continuing thereafter, and that Plaintiff gave notice of default under the Lease. (Compl., ¶¶ 18-19.) The Complaint does not date that notice, and on demurrer the Court draws the inference in Plaintiff's favor. So drawn, the allegations describe a notice of default followed by continued nonpayment, which yields an Event of Default at the End Date and, under the twelve-month provision, three or more Events of Default before it. Either condition alone defeats expiration on August 1, 2020.

Kwan's third ground restates the uncertainty and limitations arguments directed at the First Cause of Action, and it fails for the reasons stated above. (Demurrer, at p. 10:12-16.)

Accordingly, the Demurrer to the Second Cause of Action for Breach of Personal Guaranty is overruled.

CONCLUSION

The Demurrer filed by Defendant Ka Wai Kwan is overruled. Kwan shall file and serve an answer within 10 days.